

Sovereign Gold Bond, abbreviated as SGB, is a government security issued by the Reserve Bank of India (RBI) on behalf of the Government of India. It is denominated in grams of gold and is linked to the price of gold in India. It is also an interest-bearing bond, carrying an interest of 2.5% p.a. paid in two installments every year till maturity.

The bond has an 8-year term with an option for early withdrawal through the RBI after 5 years. It is listed and traded on Indian stock exchanges, allowing eligible investors to buy or sell anytime through their demat accounts. It can also be transferred to other eligible investors without redemption through the RBI.

The scheme was discontinued in 2024 due to being an expensive method of borrowing for the government. Existing bonds were not affected.

History

The scheme was initially announced in the 2015 Union budget. It was approved by the cabinet on 9 September 2015, and was launched by Prime Minister Narendra Modi in an event in New Delhi on 5 November 2015. The event was also attended by the Union Minister for Finance Arun Jaitley, the Minister of State for Finance Jayant Sinha and the Minister of State for Commerce & Industry Nirmala Sitharaman. The Gold Monetisation Scheme, Indian Gold Coins and Sovereign Gold Bonds were all launched in the same event.

The scheme was introduced due to a forex crisis caused by high gold imports. Most of the demand for gold in India is met through imports and it was believed that such a scheme would ultimately help in reducing the country's current account deficit.

It was first notified by the Department of Economic Affairs on 14 January 2016 under the Government Securities Act, 2006. The initial subscription allowed investors to buy a minimum of 2 grams, and a maximum of 500 grams. It was open from 18 to 22 January 2016 and attracted ₹245.2 Cr of investments. The bonds initially paid 2.75% interest per year. This was

later reduced to 2.5% per year for newer bonds. The bonds were sold through banks, post offices and through online securities brokers which would allow investors to hold the bonds in demat form.

In August 2024, the investors who would have redeemed the bonds issued in August 2016 lost suffered a loss due a fall in the price of gold. This fall was linked to the slash in import duty on gold from 15% to 6% during the 2024 Union budget of India.

After the final redemption of the 2016-I series, it was rumoured that the scheme was turning out to be very expensive for the Indian government, due to an unexpected rise in the prices of gold. The government also felt SGBs have also not served the purpose for which it was launched, which was to bring down gold imports by trying to move demand from physical gold to an electronic form. In addition, the RBI has not issued any new series after February 2024. Physical gold purchases were made more attractive, by lowering their import duty from 15% to 6%. After the 2025 Union budget, Minister of Finance Nirmala Sitharaman confirmed that the government had no plans of launching more tranches of SGBs. Economic Affairs Secretary Ajay Seth said that it had turned out to be a high cost method of borrowing for the government compared to traditional bonds and that they had not seen the expected reductions in import of gold. It made no fiscal sense to continue with a scheme that was not beneficial for both the government and the economy.

The price for 10 grams of gold increased from Rs 26,300 in 2015 to about Rs 84,450 in March 2025, thus increasing the liability of the government to Rs 1.12 lakh crore, with investors holding about 132 tonnes of gold in SGBs.

In the 2026 Union budget, Nirmala Sitharaman announced that the capital gains exemption would be available only if SGBs were purchased at the time of issue and held till maturity. It would not be available if someone bought these bonds from the secondary market. On the day of this announcement, several series recorded a 10% drop in value, which also coincided

with a crash in global price of the metal.

Eligibility

People residing in India, as defined in the Foreign Exchange Management Act, 1999 are eligible to invest in SGBs. These include individuals, Hindu Undivided Families (HUFs), universities, trusts, and charitable institutions. People who become non-residents after buying an SGB can still hold it until maturity or premature redemption.

The bonds are issued in 1-gram denominations and multiples thereof. Each eligible investor can purchase up to 4 kg per financial year. A demat account is optional; bonds can be held in dematerialized form with a securities depository or tracked by the RBI.

Price

The issue price is the average closing price of 999 purity gold from the last 3 business days before the subscription period, as published by the India Bullion and Jewelers Association Limited (IBJA). The redemption price, for both early and maturity redemptions, is the average closing price from the 3 business days before repayment.

Comparison with other forms of gold investments

SGBs, purely as an investment format, can be compared to other forms of investing in Gold.

Issue history

References

External links

[Sovereign Gold Bond Scheme FAQs - Reserve Bank of India](#)

[Sovereign Gold Bonds Notifications - Reserve Bank of India](#)

Further reading

Saranya, S; Antony, Nittymol (16 July 2024). "Influence of Social Media on Investment Decisions of Women with Special Focus on Sovereign Gold Bonds". *Artificial Intelligence (AI) and Customer Social Responsibility (CSR)*. Springer. pp. 603–612. doi:10.1007/978-3-031-50939-1_46. ISBN 978-3-031-50939-1.

S. Yadav, Anitha; Shetty, Chetan (16 April 2018). "Gold Monetization Scheme: Issues and Challenges". *FIIB Business Review*. 5 (4): 8–15. doi:10.1177/2455265820160402.